

NOTES

forming part of the consolidated financial statements

40. Business combination (Contd.)

	(₹ crore)
	Fair value as on acquisition date
Consideration paid [F]	1,099.97
Fair value of existing stake [G]	1,100.00
Adjustment for pre-existing relationship [H]	257.39
Total Consideration [I=F+G+H]	2,457.36
Goodwill [J=I-E]	588.46

	(₹ crore)
	Year ended March 31, 2026
Consideration paid in cash and cash equivalents (including acquisition related cost)	1,100.14
Less: Cash and cash equivalents acquired	52.73
Net cash outflow on acquisition	1,047.41

- Goodwill is attributable to the benefit of expected synergies, revenue growth and future market developments and the assembled workforce of TSCPL.
- From the date of acquisition, TSCPL contributed **₹1,385.70** crore to revenue from operations and a profit of **₹4.69** crore to the consolidated profit before tax on a pre-consolidation adjustments basis.

Had this business combination been affected on April 1, 2025, the revenue from operation of the Group would have been higher by **₹3,293.88** crore and profit would have been higher by **₹61.57** crore on a pre-consolidation adjustments basis. The management consider these 'pro-forma' numbers to represent an approximate measure of the performance of the Group on an annualised basis.

Pursuant to the business combination, contingent liabilities of the TSCPL has been considered as contingent liabilities of the Group.

- Before acquisition of additional stake in TSCPL, Tata Steel Downstream Products Limited, a wholly owned subsidiary of the company held 50% ownership in the Joint venture, formerly known as Tata Bluescope Steel Private Limited. On the date of acquisition, fair value determined for its existing stake of **₹1,100** crore and a gain on remeasuring the equity interest to fair value of **₹901.13** crore was recognised in the Consolidated Statement of Profit and Loss.
- The Company had pre-existing relationship with TSCPL, formerly known as Tata Bluescope Steel Private Limited, which gets settled on acquisition of TSCPL as an indirect subsidiary of the Company. No gain/(loss) was recognised on settlement of payable/receivables balances and finance lease transactions between the Company and TSCPL.
- No material acquisition costs were charged to the consolidated statement of profit and loss for the year ended March 31, 2026.

NOTES

forming part of the consolidated financial statements

40. Business combination (Contd.)

- (2) On December 10, 2025, the Company signed definitive agreements to acquire **50.01%** equity stake in Thriveni Pellets Private Limited ('TPPL'). Pursuant to the approval of the Competition Commission of India received on January 20, 2026, the Company, on January 30, 2026, completed the acquisition of 90,06,801 equity shares of face value ₹10/- each comprising 50.01%, for a consideration of **₹635.13** crore in TPPL from Thriveni Earthmovers Private Limited. The balance 49.99% stake will continue to be held by Lloyds Metals & Energy Limited. TPPL holds 100% equity stake in Brahmani River Pellets Private Limited ('BRPL'). Post this acquisition, the Company, directly holds 50.01% in TPPL and indirectly holds 50.01% in BRPL and accordingly, TPPL has become a direct subsidiary and BRPL has become an indirect subsidiary of the Company.

Fair value of identifiable assets acquired, and liabilities assumed as on the date of acquisition is as below:

	(₹ crore)
	Fair value as on acquisition date
Non-current assets	
Property, plant and equipment	1,170.43
Capital work-in-progress	13.30
Right-of-use assets	156.26
Other intangible assets	0.15
Other financial assets	234.07
Other assets	8.97
	1,583.18
Current assets	
Inventories	218.63
Investments	0.04
Trade receivables	142.55
Cash and cash equivalents	2.78
Other balances with bank	0.47
Other financial assets	1.56
Other assets	12.76
	378.79
Total assets [A]	1,961.97
Non-current liabilities	
Borrowings	338.63
Provisions	12.43
Deferred tax liabilities	170.24
	521.30
Current liabilities	
Borrowings	308.85
Trade payables	80.41
Other financial liabilities	6.32
Provisions	1.04
Other liabilities	31.44
Current tax liabilities	5.16
	433.22
Total liabilities [B]	954.52

NOTES

forming part of the consolidated financial statements

40. Business combination (Contd.)

	(₹ crore) Fair value as on acquisition date
Fair value of identifiable net assets [C=A-B]	1,007.45
Non-controlling interest [D]	503.67
Fair value of identifiable net assets acquired [E=C-D]	503.78

	(₹ crore) Fair value as on acquisition date
Consideration paid [F]	635.13
Goodwill [G=F-E]	131.35

	(₹ crore) Year ended March 31, 2026
Consideration paid in cash and cash equivalents (including acquisition related cost)	635.22
Less: Cash and cash equivalent acquired	2.78
Net cash outflow on acquisition	632.44

- Goodwill is attributable to the benefit of expected synergies, revenue growth and future market developments and the assembled workforce of TPPL and BRPL. These benefits are not recognised separately from goodwill because they do not meet the recognition criteria for identifiable intangible assets.
- From the date of acquisition, TPPL and BRPL contributed **₹472.44** crore to revenue from operations and a profit of **₹15.37** crore to the consolidated profit before tax on a pre-consolidation adjustments basis.

Had this business combination been affected on April 1, 2025, the revenue from operation of the Group would have been higher by **₹1,988.05** crore and profit would have been higher by **₹18.32** crore on a pre-consolidation adjustments basis. The management consider these 'pro-forma' numbers to represent an approximate measure of the performance of the Group on an annualised basis.

- No material acquisition costs were charged to the consolidated statement of profit and loss for the year ended March 31, 2026.

NOTES

forming part of the consolidated financial statements

40. Business combination (Contd.)

- (3) On January 01, 2026, Tata Steel Ijmuiden Bv, an indirect wholly owned subsidiary of the Company invested in a subsidiary LAG Velsen BV ('LAGB') within Tata Steel Netherlands Operations.

	(₹ crore) Fair value as on acquisition date
Non-current assets	
Property, plant and equipment	1,262.21
Capital work-in-progress	29.12
	1,291.33
Current assets	
Inventories	46.97
Other financial assets	0.69
	47.66
Total assets [A]	1,338.99
Non-current liabilities	
Provisions	132.46
Deferred tax liabilities	148.27
	280.73
Current liabilities	
Trade payables	1.61
Other financial liabilities	46.63
Provisions	5.31
	53.55
Total liabilities [B]	334.28
Fair value of identifiable net assets acquired [C=A-B]	1,004.71

	(₹ crore) Fair value as on acquisition date
Consideration paid [D]	1,166.06
Deferred consideration [E]	80.71
Total Consideration [F=D+E]	1,246.77
Goodwill [G=F-C]	242.06

- Goodwill is attributable to the benefit of expected synergies, revenue growth and future market developments and the assembled workforce of LAGB. These benefits are not recognised separately from goodwill because they do not meet the recognition criteria for identifiable intangible assets.
- From the date of acquisition, LAGB contributed profit of ₹60.56 crore to the consolidated profit before tax on a pre-consolidation adjustments basis.
- No material acquisition costs were charged to the consolidated statement of profit and loss for the year ended March 31, 2026.

NOTES

forming part of the consolidated financial statements

41. Capital Management

The Group's capital management is intended to create value for shareholders by facilitating the achievement of long-term and short-term goals of the Group.

The Group determines the amount of capital required on the basis of annual business plan of entities within the Group coupled with long-term and short-term strategic investment and expansion plans. The funding needs are met through equity, cash generated from operations, long and short-term bank borrowings and issue of non-convertible debt securities.

The Group monitors the capital structure on the basis of net debt to equity ratio and maturity profile of the overall debt portfolio of the Group.

Net debt includes interest bearing borrowings including lease obligations less cash and cash equivalents, other bank balances (including non-current and current earmarked balances), current investments and foreign currency hedges against borrowings.

The table below summarises the capital, net debt and net debt to equity ratio of the Group.

	As at March 31, 2026	As at March 31, 2025
Equity share capital	1,247.44	1,247.44
Other equity	1,00,920.21	89,922.19
Equity attributable to shareholders of the Company	102,167.65	91,169.63
Non-controlling interests	1,612.80	183.15
Total equity (A)	1,03,780.45	91,352.78
Non-current borrowings	63,753.67	68,551.81
Non-current lease obligations	6,232.99	4,832.71
Current borrowings	21,202.72	20,412.00
Current lease obligations	1,192.30	1,004.53
Gross debt (B)	92,381.68	94,801.05
Total capital (A+B)	1,96,162.13	1,86,153.83
Gross debt as above	92,381.68	94,801.05
Less: Current investments	1,003.54	442.65
Less: Cash and cash equivalents	8,884.95	9,604.96
Less: Other balances with banks (including non-current and current earmarked balances)	1,684.66	2,174.37
Less: Foreign currency hedges against borrowings	664.28	149.50
Net debt (C)	80,144.25	82,429.57
Net debt to equity⁽ⁱ⁾	0.82	0.90

- (i) Net debt to equity ratio as at March 31, 2026 and March 31, 2025 has been computed based on the average of opening and closing equity.

NOTES

forming part of the consolidated financial statements

42. Disclosures on financial instruments

This section gives an overview of the significance of financial instruments for the Group and provides additional information on balance sheet items that contain financial instruments.

The details of Material accounting policies, including the criteria for recognition, basis of measurement and the basis on which income and expenses are recognised in respect of each class of financial asset, financial liability and equity instrument are disclosed in note 2(n), page F157, to the consolidated financial statements.

(a) Financial assets and liabilities

The following tables present the carrying value and fair value of each category of financial assets and liabilities as at March 31, 2026 and March 31, 2025.

As at March 31, 2026

(₹ crore)

	Amortised cost	Fair value through other comprehensive income	Derivative instruments in hedging relationships	Derivative instruments not in hedging relationships	Fair value through profit and loss	Total carrying value	Total fair value
Financial assets:							
Cash and bank balances	10,569.61	-	-	-	-	10,569.61	10,569.61
Trade receivables	4,916.89	-	-	-	-	4,916.89	4,916.89
Investments	23.76	2,606.35	-	-	1,236.49	3,866.60	3,866.60
Derivatives	-	-	698.92	966.40	-	1,665.32	1,665.32
Loans	129.55	-	-	-	-	129.55	129.55
Other financial assets	2,713.01	-	-	-	-	2,713.01	2,713.01
	18,352.82	2,606.35	698.92	966.40	1,236.49	23,860.98	23,860.98
Financial liabilities:							
Trade payables	34,810.14	-	-	-	-	34,810.14	34,810.14
Borrowings other than lease obligations	84,956.39	-	-	-	-	84,956.39	85,221.62
Derivatives	-	-	210.83	49.88	-	260.71	260.71
Other financial liabilities	18,772.45	-	-	-	-	18,772.45	18,772.45
	1,38,538.98	-	210.83	49.88	-	1,38,799.69	1,39,064.92

NOTES

forming part of the consolidated financial statements

42. Disclosures on financial instruments (Contd.)

As at March 31, 2025

(₹ crore)

	Amortised cost	Fair value through other comprehensive income	Derivative instruments in hedging relationships	Derivative instruments not in hedging relationships	Fair value through profit and loss	Total carrying value	Total fair value
Financial assets:							
Cash and bank balances	11,779.33	-	-	-	-	11,779.33	11,779.33
Trade receivables	5,260.06	-	-	-	-	5,260.06	5,260.06
Investments	19.73	2,322.94	-	-	627.85	2,970.52	2,970.52
Derivatives	-	-	119.99	250.56	-	370.55	370.55
Loans	119.64	-	-	-	-	119.64	119.64
Other financial assets	2,986.13	-	-	-	-	2,986.13	2,986.13
	20,164.89	2,322.94	119.99	250.56	627.85	23,486.23	23,486.23
Financial liabilities:							
Trade payables	29,314.38	-	-	-	-	29,314.38	29,314.38
Borrowings other than lease obligations	88,963.81	-	-	-	-	88,963.81	91,233.46
Derivatives	-	-	370.23	227.33	-	597.56	597.56
Other financial liabilities	17,114.68	-	-	-	-	17,114.68	17,114.68
	1,35,392.87	-	370.23	227.33	-	1,35,990.43	1,38,260.08

Investments in mutual funds and derivative instruments (other than those designated in a hedging relationship) are mandatorily classified as fair value through the consolidated statement of profit and loss.

(b) Fair value hierarchy

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Level 1 to Level 3, as described below.

Quoted prices in an active market (Level 1): This Level of hierarchy includes financial assets and liabilities, that are measured by reference to quoted prices (unadjusted) in active markets for identical assets or liabilities. This category consists of investments in quoted equity shares and mutual funds.

Valuation techniques with observable inputs (Level 2): This Level of hierarchy includes financial assets and liabilities, measured using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This level of hierarchy includes the Group's over-the-counter (OTC) derivative contracts.

NOTES

forming part of the consolidated financial statements

42. Disclosures on financial instruments (Contd.)

Valuation techniques with significant unobservable inputs (Level 3): This Level of hierarchy includes financial assets and liabilities measured using inputs that are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part, using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. This category includes investment in unquoted equity shares and preference shares.

(₹ crore)

	As at March 31, 2026			
	Level 1	Level 2	Level 3	Total
Financial assets:				
Investments in mutual funds	1,003.54	-	-	1,003.54
Investments in equity shares	1,898.63	-	524.48	2,423.11
Investments in preference shares	-	-	176.88	176.88
Investments in preferred stocks	-	-	239.31	239.31
Derivative financial assets	-	1,665.32	-	1,665.32
	2,902.17	1,665.32	940.67	5,508.16
Financial liabilities:				
Derivative financial liabilities	-	260.71	-	260.71
	-	260.71	-	260.71

(₹ crore)

	As at March 31, 2025			
	Level 1	Level 2	Level 3	Total
Financial assets:				
Investments in mutual funds	442.65	-	-	442.65
Investments in equity shares	1,908.89	-	459.52	2,368.41
Investments in preference shares	-	-	139.73	139.73
Investments in preferred stocks	-	-	-	-
Derivative financial assets	-	370.55	-	370.55
	2,351.54	370.55	599.25	3,321.34
Financial liabilities:				
Derivative financial liabilities	-	597.56	-	597.56
	-	597.56	-	597.56

Notes:

- Current financial assets and liabilities are stated at carrying value which is approximately equal to their fair value.
- Derivatives are fair valued using market observable rates and published prices together with forecasted cash flow information where applicable.
- Investments carried at fair value are generally based on market price quotations. Investments in equity instruments included in level 3 of the fair value hierarchy have been valued using the cost approach to arrive at their fair value. Cost of unquoted equity instruments has been considered as an appropriate estimate of fair value because of a wide range of possible fair value measurements and cost represents the best estimate of fair value within that range. Fair value of investment in preference shares is estimated by discounting the expected future cash flows using a discount rate equivalent to the expected rate of return for a similar instrument and maturity as on the reporting date.

NOTES

forming part of the consolidated financial statements

42. Disclosures on financial instruments (Contd.)

- (iv) Fair value of borrowings which have a quoted market price in an active market is based on its market price which is categorised as Level 1. Fair value of borrowings which do not have an active market or are unquoted is estimated by discounting the expected future cash flows using a discount rate equivalent to the risk-free rate of return adjusted for credit spread considered by lenders for instruments of similar maturities which is categorised as level 2 in the fair value hierarchy.
- (v) Management uses its best judgement in estimating the fair value of its financial instruments. However, there are inherent limitations in any estimation technique. Therefore, for substantially all financial instruments, the fair value estimates presented above are not necessarily indicative of the amounts that the Group could have realised or paid in sale transactions as of respective dates. As such, fair value of financial instruments subsequent to the reporting dates may be different from the amounts reported at each reporting date.
- (vi) There have been no transfers between Level 1 and Level 2 for the years ended March 31, 2026 and March 31, 2025.
- (vii) Reconciliation of level 3 fair value measurement is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
	(₹ crore)	
Balance at the beginning of the year	599.25	536.38
Additions during the year	252.60	21.66
Disposals	(19.86)	-
Fair value changes during the year	72.51	33.18
Exchange rate difference on consolidation	36.17	8.03
Balance at the end of the year	940.67	599.25

(c) Derivative financial instruments

Derivative instruments used by the Group include forward exchange contracts, interest rate swaps, currency swaps, options, commodity futures, interest rate caps and collars. These financial instruments are utilised to hedge future transactions and cash flows and are subject to hedge accounting under Ind AS 109 "Financial Instruments" wherever possible. The Group does not hold or issue derivative financial instruments for trading purposes. All transactions in derivative financial instruments are undertaken to manage risks arising from underlying business activities.

The following table sets out the fair value of derivatives held by the Group as at the end of the reporting period.

	As at March 31, 2026		As at March 31, 2025	
	Assets	Liabilities	Assets	Liabilities
(i) Foreign currency forwards, futures, swaps and options	1,187.14	53.02	237.17	286.16
(ii) Commodity futures and options	445.03	207.47	111.41	311.40
(iii) Interest rate swaps and collars	33.15	0.22	21.97	-
	1,665.32	260.71	370.55	597.56
Classified as:				
Non-current	703.85	-	0.05	206.38
Current	961.47	260.71	370.50	391.18

NOTES

forming part of the consolidated financial statements

42. Disclosures on financial instruments (Contd.)

As at the end of the reporting period, total notional amount of outstanding foreign currency contracts, commodity futures, options, interest rate swap and collars that the Group has committed to is as below:

	(US \$ million)	
	As at March 31, 2026	As at March 31, 2025
(i) Foreign currency forwards, futures, swaps and options	3,482.31	3,211.54
(ii) Commodity futures and options	576.73	613.73
(iii) Interest rate swaps and collars	525.00	146.67
	4,584.04	3,971.94

(d) Transfer of financial assets

The Group transfers certain trade receivables under discounting arrangements with banks/financial institutions. Some of such arrangements do not qualify for de-recognition due to recourse arrangements being in place. Consequently, the proceeds received from transfer are recorded as short-term borrowings from banks and financial institutions. As at March 31, 2026 and March 31, 2025, there has been no such transfer of trade receivables.

(e) Financial risk management

In the course of its business, the Group is exposed primarily to fluctuations in foreign currency exchange rates, commodity prices, interest rates, equity prices, liquidity and credit risk, which may adversely impact the fair value of its financial instruments.

Entities within the Group have a risk management policy which not only covers the foreign exchange risks but also other risks associated with the financial assets and liabilities such as interest rate risks and credit risks. The risk management policy is approved by the Board of Directors of the respective companies. The risk management framework aims to:

- (i) create a stable business planning environment by reducing the impact of currency, commodity prices and interest rate fluctuations on the entity's business plan.
- (ii) achieve greater predictability to earnings by determining the financial value of the expected earnings in advance.

(i) Market risk

Market risk is the risk of any loss in future earnings, in realisable fair values or in future cash flows that may result from a change in the price of a financial instrument. The value of a financial instrument may change as a result of changes in interest rates, foreign currency exchange rates, commodity prices, equity price fluctuations, liquidity and other market changes. Future specific market movements cannot be normally predicted with reasonable accuracy.

(a) Market risk - Foreign currency exchange rate risk:

The fluctuation in foreign currency exchange rates may have potential impact on the consolidated statement of profit and loss and equity, where any transaction references more than one currency or where assets/liabilities are denominated in a currency other than the functional currency of the respective consolidated entities.

Considering the countries and economic environment in which the Group operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries. The risks primarily relate to fluctuations in US Dollar, Great British Pound, Euro, Singapore Dollar, and Thai Baht against the respective functional currencies of the Company and its subsidiaries.

Entities as per their risk management policy, use foreign exchange forward and other derivative instruments primarily to hedge foreign exchange and interest rate exposure. Any weakening of the functional currency may impact the respective entities' cost of imports and cost of borrowings and consequently may increase the cost of financing the Group's capital expenditures.